



HALF YEAR RESULTS

The Directors are pleased to announce the un-audited results for the six months ended 31 December 2012.

	<u>2012-13</u> <u>Kshs'000</u>	<u>2011-12</u> <u>Kshs'000</u>
Turnover	8,188,051	8,420,070
Operating Profit	206,048	213,808
Profit Before Tax & Foreign Exchange Gains (Losses)	254,209	264,829
Foreign Exchange Gains (Losses)	(58,401)	79,432
Taxation Charge	(57,893)	(103,339)
Profit Before Minority Interests	137,915	240,922
Minority Interests	(53,002)	(91,896)
Profit attributable to equity holders of the parent Company	<u>84,913</u>	<u>149,026</u>
Earnings Per Share	Shs 1.12	Shs 1.97

COMMENTARY

Turnover and Operating Profit remained relatively unchanged compared to prior year. Profit before Tax was 43% down, a consequence of the difference between the foreign exchange losses incurred in the current period and gains recorded in the prior period.

The Kenya and Uganda Shillings continue to be under pressure from the US Dollar, eroding gains previously made. Should the local and regional currencies continue to weaken against the Dollar further losses will be incurred, which will negatively impact the full year results of the company.

Obtaining good quality grain and other raw materials from the local market was challenging. High raw material costs resulted in tight margins, since the greater proportion had to be absorbed in an economically challenging and ever more competitive marketplace.

The group launched fortified Jogoo® and Hostess® in order to give consumers the opportunity to purchase more nutritious food. Fortified wheat flour products will be introduced over the next few months. Additionally, the animal nutrition sector introduced its range of branded Fugo® animal feeds in a convenient and labour friendly 50 kilogram pack. Our new products have been well received by the market.

The refurbished feed plant at Dakar Road has enabled the company to meet the increased demand for quality animal feeds. Flour shortages will be addressed by securing additional production capacity for the affected products.

Administration expenses declined as a result of a greater focus on cost management.

During the period, the group purchased the entire minority shareholding in Unga Millers (U) Limited, through its subsidiary Unga Holdings Limited.

On 27th February 2013 Mrs Mary M'Mukindia was appointed a director of the company.

The Directors do not recommend the payment of an interim dividend.

BY ORDER OF THE BOARD

W Jumba

Company Secretary

27 February 2013



**CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2012**

	31 Dec 2012	31 Dec 2011
	Kshs'000	Kshs'000
ASSETS		
Non Current Assets	1,715,725	1,695,669
Current Assets	5,481,059	5,425,416
Total Assets	7,196,784	7,121,085
EQUITY AND LIABILITIES		
Share Capital	378,535	378,535
Reserves	2,209,374	2,235,093
Minority Interests	1,316,047	1,270,656
Non-Current Liabilities	451,631	343,449
Current Liabilities	2,841,198	2,893,352
Total Equity and Liabilities	7,196,784	7,121,085

**CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE SIX MONTHS ENDED 31 DECEMBER 2012**

	6 Months to	6 Months to
	31 Dec 2012	31 Dec 2011
	Kshs'000	Kshs'000
Operating Profit before working capital changes	211,455	281,658
Changes in Working Capital	(134,856)	(344,261)
Net Cash Generated (used in)/from Operations	76,599	(62,603)
Tax Paid	-	(180,987)
Net Cash (used in)/from Operating activities	76,599	(243,590)
Net Cash (used in)/from Investing activities	(164,593)	(167,548)
Net Cash used in Financing activities	(86,647)	(56,780)
Decrease/(increase) in cash & cash equivalents	(174,642)	(467,919)
At the start of the Period	644,591	1,060,135
At the end of Period	469,949	592,216

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31 DEC 2012**

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Translation reserve Sh'000	Revenue reserve Sh'000	Equity attributable to equity holders Sh'000	Non- controlling interest Sh'000	Total Sh'000
At 1 July 2012	378,535	73,148	670,898	(5,221)	1,558,405	2,675,765	1,313,453	3,989,218
Profit for the period	-	-	-	-	84,914	84,914	53,002	137,915
Other comprehensive loss for the period	-	-	-	(3,063)	-	(3,063)	(2,042)	(5,105)
Total comprehensive income for the period	-	-	-	(3,063)	84,914	81,851	50,960	132,811
Dividend paid to shareholders	-	-	-	-	(56,780)	(56,780)	-	(56,780)
Dividend paid to non - controlling interests	-	-	-	-	-	-	(30,574)	(30,574)
Acquisition of Non-Controlling Interest	-	-	-	-	(112,925)	(112,925)	(17,791)	(130,716)
As at December 31st 2012	378,535	73,148	670,898	(8,284)	1,473,613	2,587,910	1,316,048	3,903,958